SOUTHWARD MUTUAL · WEATHER DESK

Merrin Valley heat-day cover 2027/28: $525 a hectare

To Bonnie Barr, General Manager, Merrin Valley Winegrowers Co-operative. From Jack Castro, Pricing Analyst, Southward Mutual, for Rachel Ballard. 6 September 2027. Ref HC104/2027.

We quote $525 a hectare for the 2027/28 season on the terms of the quote term sheet (heat days at 35.0 C or more after the first 14, $40 each; severe heat days at 40.0 C or more, $60 each; at most $1,500 a hectare). The premium assumes 16.7 heat days and 4.1 severe heat days at Merrin Flat in 2027/28, the values for 2027/28 of the lines fitted to every season since 1965/66.

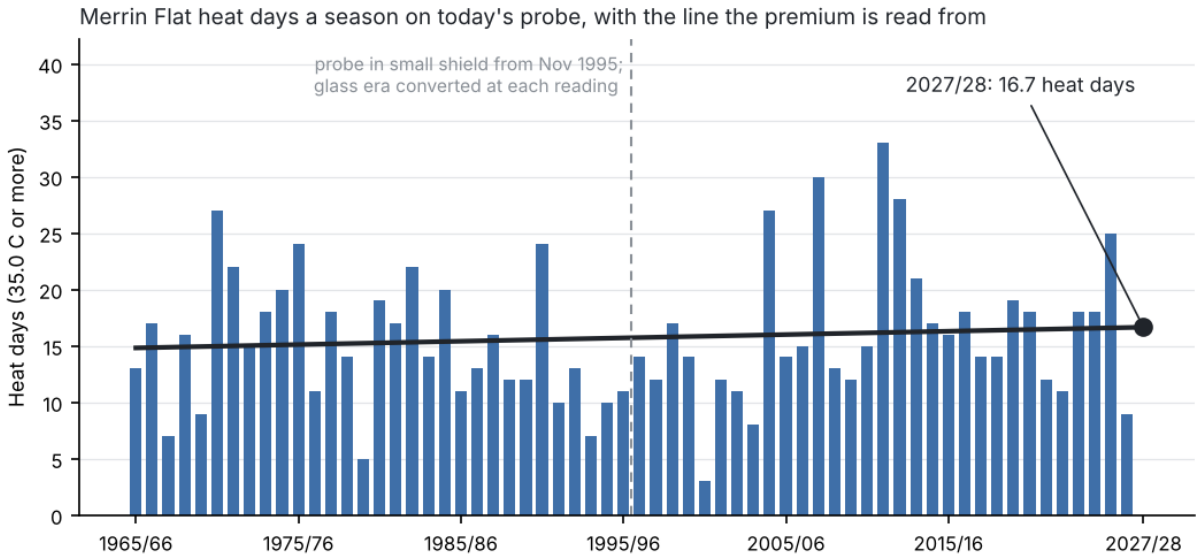
Merrin Flat's heat days have run higher since the station went automatic in November 1995, and part of that rise is the instrument, not the weather. The probe in its small shield reads the same as the old glass thermometer on ordinary days and warmer on hot afternoons: in the Service's parallel observations the difference is 0.72 C at a glass reading of 34.5 C and 1.35 C at 39.0 C, against 0.13 C on average at Merrin Flat. Brought to today's probe reading by reading, the glass years gain 54 heat days and 29 severe heat days, and the heat-day line rises 0.30 days a decade, not the 0.74 days the unconverted record shows. Converting the glass years by the average difference moves no half-degree reading across either trigger and would have priced the cover at $567 a hectare.

The schedule at attachment

Sub-district	Member blocks	Insured ha	Premium
Upper Merrin	28	184.8	$97,020
Lower Merrin	17	100.5	$52,763
Kerrin Flats	33	178.7	$93,818
Tolbin	37	258.7	$135,818
Total	**115**	**722.7**	

Blocks on the policy schedule on 1 December 2027, each once at its insured area, by the co-operative's sub-districts in its block register of 1 August 2027. Premium is the rate times each sub-district's hectares, to the nearest whole dollar (50 cents up).

The record the premium is read from



Seasons are 1 December to the end of February. Glass years (to 1994/95) are converted to the probe at each half-degree reading by the mean probe-minus-glass difference at that reading in the parallel observations; the probe years are as approved by the Service.

What the cover has paid

Season	Claims paid	Paid
2019/20	25	$80,344
2020/21	28	$79,148
2021/22	36	$50,260
2022/23	38	$63,534
2023/24	45	$195,809
2024/25	52	$285,417
2025/26	54	$433,200
2026/27	55	$35,631

Paid claims from the finance ledger by the season each claim is for; duplicate lodgements that were assessed but never paid are left out.